PART II + MANAGING MONEY

Allocating What We Earn

Once kids begin earning money, the next step is teaching them to manage it well. Money is a tool that can be used for good or for harm. The boundaries, self-control, and habits kids build now prepare them for lifelong success.

THE GOAL

Delayed gratification: the ability to wait for a better future reward rather than taking something smaller now.

Without structure, money trains impulse. With structure, it trains restraint. Allocation is that structure: dividing money into spending, saving, giving, and investing every time it comes in.

I. Choose a System

There is no single right system. There is only the one your family will actually use. Match it to your child's age.

YOUNGER KIDS: JARS AND ENVELOPES

- Jars, envelopes, or save/spend/give boxes keep money visible and tangible.
- Parents act as the **bank and cash register**: break bills, make change, and help track balances.
- Envelopes slow spending down and make saving feel real.

AGES 10+ AND TEENS: GO DIGITAL

- **Greenlight** is like Venmo for a family. Parents fund it, and each child gets a card with spend, save, give, and invest accounts.
- No overdraft. Purchases decline when the money runs out, so limits teach themselves.
- Parents get real-time alerts and a full transaction history.
- Older teens (13 to 17) can also use a **Venmo Teen** account.

II. Key Practices

1. **Allocate the same day money comes in.** The connection between effort and money is strongest in the moment.
2. **Always have a savings goal in progress.** Waiting is easier when kids are counting toward something real.
3. **Money can move from spending to saving, but never back.** Once it is saved, it stays saved until the goal is reached.
4. **Reconcile together once a month.** Count the envelopes or check balances side by side.
5. **Let kids own their system.** Their envelopes, their jars, their balances, their decisions.

A STORY WORTH TELLING

Max blew his entire spending envelope on impulse. First came the thrill, then the regret. Then came the relief: his savings envelope, the one for a new fishing rod, was still intact. Real moments like this teach self-control better than words ever could.

III. Teaching Through Experience

Each envelope teaches its own lesson. Splits are shown as **younger kids / older kids and teens.** The exact percentages matter less than the habit of dividing every time.

Spend — 50% / 40%

- Let them spend it freely, even on something you think is wasteful.
- Don't rescue and don't lecture. Life lessons are more powerful than parental lectures.
- Over time, freedom builds better decisions.

Save — 40% / 40%

- Make the goal specific and put a price on it.
- **48-hour rule:** wait two days before changing a savings goal.
- Don't advance money for future chores or chip in the last few dollars. Let them finish it, then celebrate together.

Give — 10% / 10%

- Give at church, to a cause, or to someone they know.
- Let them give it themselves: fill the envelope, hand it in, or give online with their own card.
- Celebrate generosity and connect it to your family's faith.

Invest — older kids / 10%

- Start with brands they know. One share of Nike or Coca-Cola is a tiny piece of the company.
- Move to index funds, then teach diversification over time.
- Stress time over returns. Investing is not a game.

> ***Saving stores money. Spending uses it. Giving releases it. Investing puts it to work.***

IV. Living It Out as Parents

Children are always watching. Whether we practice gratitude, delay gratification, and budget wisely shapes how our kids view money. Modeling matters as much as teaching.

When kids see this at home...	...they learn this
Panic or stress around money	**Anxiety**
Secrecy about money	**Avoidance**
Restraint practiced with peace	**Contentment**
Generosity	**Trust**

Say it out loud: "We could buy that, but we're choosing not to, so we can do something else with that money."

YOUR NEXT STEP

Fill this in before you leave, then set it up at home this week.

Our system: _____ **Monthly check-in day:** _____

Our split: **Spend** _____% **Save** _____% **Give** _____% **Invest** _____%

Savings goal: _____ **Cost:** $_____

Where we'll give: _____